CAPITAL IMPROVEMENT PLAN

Lantern Terrace | Hartford, CT

Property	Lantern Terrace
Plan Date	August 26, 2024
Prepared For	Tidewater Core Fund
Total Plan Budget	$384,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Lobby renovation	Life Safety	02/28/24	Q2 2025	$176,000	$50,581	In progress
Pool resurfacing	Energy	06/08/24	Q2 2027	$404,000	$157,022	Complete
Water heater replacement	Site	05/16/26	Q2 2026	$824,000	$237,829	Deferred
Elevator modernization	Site	01/15/26	Q3 2026	$363,000	$94,355	Complete
Fire alarm panel upgrade	Site	09/10/24	Q1 2027	$122,000	$26,655	Bidding
Roof replacement - Bldg A	Life Safety	08/11/26	Q3 2026	$811,000	$374,535	Deferred
Elevator modernization	Life Safety	01/09/24	Q1 2026	$190,000	$110,599	Approved
Exterior paint	Life Safety	06/20/23	Q4 2027	$114,000	$1,034	Deferred
Signage / monument	Site	01/04/25	Q3 2027	$287,000	$248,354	Deferred
Fence replacement	Life Safety	12/01/23	Q2 2026	$26,000	$26,833	Deferred
Pool resurfacing	Building	09/09/26	Q1 2026	$344,000	$242,409	Bidding
Parking lot resurfacing	Energy	02/14/25	Q2 2026	$107,000	$5,820	Approved
Door hardware	Energy	11/21/25	Q3 2025	$682,000	$558,292	Deferred
Water heater replacement	Energy	07/10/24	Q2 2026	$382,000	$265,393	Bidding
Pool resurfacing	Building	01/20/24	Q3 2027	$593,000	$339,810	Bidding
ADA compliance	Energy	07/04/24	Q2 2026	$394,000	$313,097	Approved
Pool resurfacing	Interior	01/03/23	Q3 2027	$811,000	$488,124	Approved
Parking lot resurfacing	Site	06/05/25	Q1 2025	$682,000	$262,956	Approved
Fence replacement	Site	01/13/24	Q2 2027	$706,000	$121,098	Bidding
Signage / monument	Building	07/20/25	Q4 2025	$796,000	$664,498	Deferred
Exterior paint	Energy	06/16/25	Q1 2027	$322,000	$91,655	Approved
Fence replacement	Building	08/05/23	Q1 2027	$92,000	$9,410	Complete
Signage / monument	Interior	09/29/23	Q2 2026	$398,000	$119,087	Bidding
Water heater replacement	Site	03/24/24	Q3 2027	$314,000	$184,383	Approved

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Unit interior upgrades	Energy	04/22/23	Q4 2026	$687,000	$158,932	Deferred
Door hardware	Building	08/31/23	Q3 2026	$882,000	$604,600	In progress
ADA compliance	Energy	12/30/24	Q1 2025	$335,000	$264,052	Deferred
Water heater replacement	Building	02/09/23	Q2 2027	$432,000	$421,278	Deferred
Roof replacement - Bldg D	Site	02/22/26	Q4 2027	$218,000	$34,630	Bidding
Landscape / irrigation	Site	02/04/25	Q3 2025	$22,000	$7,749	Complete
ADA compliance	Interior	09/25/25	Q3 2026	$427,000	$10,202	Complete
Landscape / irrigation	Energy	07/31/24	Q1 2026	$882,000	$147,134	Deferred
Landscape / irrigation	Site	11/14/23	Q3 2025	$854,000	$541,150	In progress
Elevator modernization	Energy	05/15/24	Q3 2026	$200,000	$139,128	In progress
ADA compliance	Life Safety	05/19/25	Q2 2026	$180,000	$118,013	In progress
Elevator modernization	Site	03/22/25	Q4 2025	$573,000	$263,052	Bidding
Fire alarm panel upgrade	Site	08/10/26	Q2 2027	$35,000	$34,141	Deferred
Exterior paint	Interior	05/14/26	Q1 2027	$586,000	$473,072	Bidding
HVAC replacement	Life Safety	03/30/24	Q3 2026	$207,000	$55,980	Approved
Pool resurfacing	Interior	03/20/26	Q2 2027	$768,000	$548,806	Approved
Landscape / irrigation	Energy	02/16/24	Q4 2025	$434,000	$323,670	Approved
Pool resurfacing	Life Safety	11/27/26	Q4 2027	$236,000	$149,553	Deferred
Landscape / irrigation	Site	11/17/26	Q1 2027	$181,000	$63,843	In progress
Elevator modernization	Energy	05/03/24	Q3 2026	$335,000	$6,113	In progress
Security camera upgrade	Interior	08/26/23	Q3 2025	$628,000	$595,739	Deferred
ADA compliance	Energy	12/07/26	Q3 2025	$353,000	$102,843	Deferred
HVAC replacement	Energy	02/26/24	Q3 2027	$607,000	$232,758	Complete
Amenity renovation	Building	10/03/25	Q1 2027	$634,000	$164,854	Bidding
HVAC replacement	Site	08/24/23	Q3 2027	$388,000	$229,943	Bidding
ADA compliance	Building	03/14/26	Q2 2027	$832,000	$715,896	Deferred
Door hardware	Energy	07/31/25	Q2 2027	$100,000	$70,258	Deferred
Elevator modernization	Building	03/23/25	Q4 2027	$450,000	$326,928	Deferred
LED lighting retrofit	Interior	06/16/23	Q4 2026	$575,000	$113,054	Bidding
Security camera upgrade	Life Safety	06/28/25	Q3 2025	$387,000	$371,801	Bidding
Amenity renovation	Interior	08/07/26	Q1 2027	$769,000	$397,143	Bidding
Water heater replacement	Interior	03/11/23	Q2 2026	$763,000	$469,941	Complete
Lobby renovation	Site	08/04/26	Q4 2025	$466,000	$243,774	Bidding
Signage / monument	Building	09/10/25	Q3 2025	$35,000	$2,245	Approved
HVAC replacement	Interior	06/01/23	Q4 2025	$271,000	$224,704	Complete
Pool resurfacing	Building	06/27/23	Q4 2027	$93,000	$43,903	In progress
Water heater replacement	Energy	02/12/25	Q3 2026	$878,000	$494,315	Complete
Water heater replacement	Life Safety	01/22/26	Q2 2026	$260,000	$115,743	Approved
Roof replacement - Bldg D	Energy	10/30/26	Q1 2026	$751,000	$595,251	Deferred
Exterior paint	Building	09/04/25	Q3 2025	$543,000	$438,029	Deferred
Exterior paint	Building	02/10/26	Q2 2027	$721,000	$663,801	In progress
LED lighting retrofit	Interior	04/30/23	Q1 2027	$857,000	$459,723	Complete
Lobby renovation	Energy	06/24/25	Q3 2025	$630,000	$201,061	Deferred

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Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $78,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 33 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 32 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Risk Considerations

Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Distributions to investors for the quarter were paid at an annualized rate of 7.2% on contributed capital.

Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Distributions to investors for the quarter were paid at an annualized rate of 3.0% on contributed capital. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Observed Conditions

Elevators were last modernized 12 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 26 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $85,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 45 months. Elevators were last modernized 12 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $301,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investment Overview

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet.

Projected levered IRR is 12.4% with an equity multiple of 1.14x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $384,000. Elevators were last modernized 5 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $114,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 40 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Investment Overview

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Pool resurfacing	Energy	02/05/23	Q4 2026	$347,000	$75,134	Complete
HVAC replacement	Site	10/17/25	Q4 2026	$196,000	$172,402	In progress
Lobby renovation	Interior	03/07/23	Q2 2026	$508,000	$519,325	In progress
ADA compliance	Energy	01/12/26	Q1 2026	$882,000	$492,516	Deferred
ADA compliance	Site	07/05/23	Q3 2026	$129,000	$93,043	Complete
Fence replacement	Energy	10/20/23	Q2 2027	$499,000	$71,862	Complete
LED lighting retrofit	Interior	08/14/24	Q2 2026	$146,000	$71,844	Approved
Water heater replacement	Building	12/21/24	Q2 2027	$242,000	$153,262	Deferred
Fence replacement	Building	09/25/25	Q3 2025	$273,000	$142,513	Complete
Water heater replacement	Building	03/07/24	Q1 2027	$887,000	$743,046	In progress
Unit interior upgrades	Interior	09/09/26	Q2 2026	$520,000	$465,853	In progress
Fire alarm panel upgrade	Interior	03/25/25	Q3 2026	$861,000	$666,253	Approved
Lobby renovation	Building	09/27/24	Q4 2025	$185,000	$119,686	Approved
Landscape / irrigation	Interior	06/05/24	Q2 2025	$149,000	$86,049	Approved
Fence replacement	Energy	03/16/24	Q1 2025	$822,000	$828,948	Bidding
Elevator modernization	Interior	07/03/24	Q1 2026	$408,000	$46,768	Approved
Fence replacement	Energy	01/16/23	Q4 2027	$665,000	$559,890	Deferred
Parking lot resurfacing	Interior	01/06/25	Q3 2026	$61,000	$15,104	Approved
Landscape / irrigation	Life Safety	04/11/25	Q1 2025	$574,000	$47,728	Complete
Fence replacement	Interior	04/24/23	Q2 2026	$155,000	$149,080	In progress
Pool resurfacing	Energy	03/28/26	Q1 2027	$857,000	$239,036	Deferred
Water heater replacement	Life Safety	03/02/23	Q4 2027	$243,000	$231,886	Approved
Pool resurfacing	Interior	10/11/23	Q1 2025	$591,000	$189,016	Bidding
Exterior paint	Site	09/05/25	Q2 2025	$883,000	$127,639	Bidding
Elevator modernization	Site	05/14/26	Q4 2025	$481,000	$472,350	Bidding
Security camera upgrade	Energy	11/30/23	Q1 2027	$386,000	$259,016	Bidding
Water heater replacement	Interior	10/10/24	Q1 2026	$205,000	$210,150	Approved
Pool resurfacing	Energy	08/10/25	Q4 2025	$425,000	$118,936	Bidding
Sewer line repair	Site	11/18/23	Q4 2026	$139,000	$51,257	Complete
Pool resurfacing	Site	05/08/25	Q2 2027	$492,000	$314,941	Complete
Pool resurfacing	Energy	12/01/23	Q4 2027	$105,000	$24,798	In progress
Fence replacement	Life Safety	11/19/26	Q1 2026	$717,000	$77,839	Bidding
Security camera upgrade	Life Safety	03/06/26	Q2 2025	$654,000	$200,118	Approved
Security camera upgrade	Building	03/10/23	Q1 2025	$199,000	$16,396	Deferred
Roof replacement - Bldg D	Life Safety	10/17/23	Q3 2026	$645,000	$439,670	Deferred
HVAC replacement	Life Safety	01/30/25	Q2 2027	$529,000	$43,638	Bidding
Storefront glazing	Building	09/18/25	Q2 2027	$771,000	$438,308	Complete
Water heater replacement	Building	02/01/23	Q4 2026	$714,000	$484,119	In progress
Parking lot resurfacing	Interior	04/22/23	Q1 2027	$566,000	$411,902	Complete
Unit interior upgrades	Energy	03/31/23	Q2 2025	$506,000	$379,732	In progress

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Observed Conditions

Elevators were last modernized 5 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $19,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 39 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $75,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Investment Overview

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 5.9% annually with renewal retention above 88.5%. Projected levered IRR is 7.9% with an equity multiple of 1.28x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.0% on contributed capital. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 4 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $360,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 28 months. Elevators were last modernized 8 years ago and are operating without deficiency.

Investor Distributions

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Projected levered IRR is 7.7% with an equity multiple of 1.24x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Distributions to investors for the quarter were paid at an annualized rate of 3.1% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 6.8% with an equity multiple of 1.16x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. Elevators were last modernized 10 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 12 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $49,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investment Overview

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Amenity renovation	Building	02/02/26	Q2 2027	$811,000	$14,907	Deferred
Lobby renovation	Life Safety	08/16/24	Q3 2027	$630,000	$303,591	In progress
Parking lot resurfacing	Interior	06/29/25	Q4 2025	$600,000	$345,926	Approved
Roof replacement - Bldg A	Site	03/17/25	Q3 2025	$306,000	$228,603	Approved
LED lighting retrofit	Interior	01/04/23	Q2 2025	$441,000	$309,055	In progress
Fence replacement	Energy	03/26/23	Q4 2025	$714,000	$192,586	In progress
Water heater replacement	Building	01/16/24	Q4 2025	$507,000	$221,813	In progress
Security camera upgrade	Building	06/05/24	Q1 2025	$584,000	$63,945	Complete
Elevator modernization	Energy	10/02/26	Q1 2026	$252,000	$50,909	Bidding
Parking lot resurfacing	Site	06/12/25	Q2 2026	$581,000	$16,804	Approved
Elevator modernization	Building	03/26/25	Q1 2027	$339,000	$152,608	Complete
ADA compliance	Building	06/06/24	Q4 2027	$610,000	$91,462	Bidding
HVAC replacement	Life Safety	02/25/24	Q3 2025	$716,000	$360,340	Deferred
Elevator modernization	Site	02/06/26	Q2 2025	$49,000	$39,183	Bidding
Water heater replacement	Interior	02/01/23	Q2 2025	$347,000	$165,667	Approved
Parking lot resurfacing	Building	04/09/23	Q4 2027	$474,000	$382,606	Approved
Roof replacement - Bldg A	Energy	04/26/26	Q4 2027	$107,000	$79,753	Bidding
Lobby renovation	Site	03/02/23	Q3 2026	$158,000	$63,940	Complete
Amenity renovation	Life Safety	02/03/26	Q3 2026	$16,000	$15,063	In progress
Exterior paint	Interior	05/16/26	Q3 2026	$132,000	$111,981	Complete
Amenity renovation	Site	09/25/23	Q1 2027	$728,000	$86,088	Approved
Amenity renovation	Energy	11/16/26	Q2 2025	$16,000	$12,901	Deferred
HVAC replacement	Energy	03/30/24	Q4 2025	$117,000	$96,651	In progress
Signage / monument	Building	08/25/26	Q2 2026	$49,000	$7,596	Approved
Water heater replacement	Interior	06/11/24	Q3 2025	$801,000	$92,801	In progress
Amenity renovation	Building	07/20/24	Q2 2025	$366,000	$64,585	Deferred
Exterior paint	Building	03/10/25	Q1 2026	$708,000	$536,360	Complete
Door hardware	Interior	02/17/23	Q3 2027	$315,000	$286,847	Deferred
Door hardware	Building	07/14/23	Q1 2027	$442,000	$370,154	Deferred
Elevator modernization	Site	02/19/26	Q2 2025	$707,000	$522,456	Deferred
Unit interior upgrades	Site	04/06/26	Q1 2026	$422,000	$87,706	Approved
ADA compliance	Building	11/10/24	Q3 2027	$200,000	$60,041	Approved
Amenity renovation	Interior	03/19/24	Q4 2025	$604,000	$380,509	Approved
Water heater replacement	Energy	09/10/23	Q3 2026	$712,000	$299,516	Deferred
Fence replacement	Building	03/23/26	Q1 2027	$453,000	$194,199	Deferred
Roof replacement - Bldg A	Interior	01/20/23	Q3 2027	$429,000	$286,616	In progress
Security camera upgrade	Building	12/17/26	Q1 2026	$403,000	$166,986	Deferred
LED lighting retrofit	Interior	07/08/25	Q4 2027	$577,000	$8,386	Bidding
Water heater replacement	Energy	03/12/24	Q2 2025	$520,000	$108,538	Deferred
Exterior paint	Site	09/28/24	Q4 2026	$47,000	$20,929	Deferred
Unit interior upgrades	Site	08/01/25	Q3 2027	$156,000	$11,398	In progress

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Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 4 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $305,000. Elevators were last modernized 6 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 28 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Business Plan Progress

Resident turnover has averaged 13.2% annually with renewal retention above 89.3%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Projected levered IRR is 9.3% with an equity multiple of 1.17x over the hold period. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Distributions to investors for the quarter were paid at an annualized rate of 6.3% on contributed capital.

Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Resident turnover has averaged 10.4% annually with renewal retention above 88.4%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns.

Observed Conditions

Elevators were last modernized 3 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $328,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $192,000. Elevators were last modernized 10 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investment Overview

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 4.2% on contributed capital. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Distributions to investors for the quarter were paid at an annualized rate of 4.7% on contributed capital. Resident turnover has averaged 6.2% annually with renewal retention above 95.3%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet.

Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $383,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 4 months.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 22 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 12 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Risk Considerations

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fire alarm panel upgrade	Site	02/27/25	Q2 2025	$262,000	$99,797	Deferred
Landscape / irrigation	Interior	10/17/25	Q3 2027	$632,000	$598,701	Bidding
Landscape / irrigation	Energy	06/18/26	Q4 2026	$119,000	$69,253	Complete
Storefront glazing	Life Safety	08/14/23	Q2 2026	$592,000	$168,774	Deferred
ADA compliance	Site	05/28/23	Q4 2027	$17,000	$4,124	In progress
Security camera upgrade	Site	12/08/25	Q4 2026	$236,000	$64,387	Deferred
Amenity renovation	Energy	11/11/23	Q4 2027	$675,000	$378,490	Bidding
Landscape / irrigation	Life Safety	02/26/26	Q2 2027	$99,000	$30,743	In progress
Lobby renovation	Life Safety	08/19/25	Q4 2027	$524,000	$360,472	Complete
Storefront glazing	Site	04/22/25	Q1 2026	$75,000	$45,293	In progress
Security camera upgrade	Energy	09/11/26	Q1 2026	$546,000	$255,608	Complete
Amenity renovation	Life Safety	05/04/24	Q1 2026	$558,000	$220,055	Complete
HVAC replacement	Interior	11/15/25	Q3 2025	$718,000	$691,264	Complete
Fire alarm panel upgrade	Site	04/06/24	Q1 2026	$670,000	$508,068	Deferred
Parking lot resurfacing	Building	08/20/24	Q1 2026	$56,000	$28,450	Bidding
Parking lot resurfacing	Energy	06/26/24	Q1 2026	$602,000	$380,469	Bidding
Sewer line repair	Energy	05/25/26	Q2 2025	$808,000	$732,049	Bidding
HVAC replacement	Building	07/19/23	Q3 2026	$348,000	$198,798	Bidding
Security camera upgrade	Life Safety	03/08/24	Q4 2027	$605,000	$88,521	Complete
Fence replacement	Site	12/08/24	Q1 2026	$166,000	$143,943	In progress
Unit interior upgrades	Energy	03/11/26	Q1 2026	$834,000	$495,167	In progress
Roof replacement - Bldg A	Energy	01/25/24	Q1 2027	$722,000	$111,486	Bidding
Amenity renovation	Interior	05/28/24	Q3 2027	$277,000	$232,318	Deferred
Fire alarm panel upgrade	Life Safety	05/20/23	Q3 2025	$50,000	$36,784	Complete
Sewer line repair	Interior	08/26/23	Q3 2025	$504,000	$285,375	Bidding
Fire alarm panel upgrade	Interior	04/15/23	Q1 2025	$527,000	$544,969	Bidding
Fire alarm panel upgrade	Life Safety	08/17/26	Q1 2025	$151,000	$147,443	Bidding
Sewer line repair	Life Safety	11/09/23	Q2 2027	$450,000	$56,117	Bidding
Fence replacement	Site	08/26/24	Q4 2027	$170,000	$61,486	In progress
Amenity renovation	Building	10/08/24	Q3 2027	$204,000	$100,249	In progress
Landscape / irrigation	Interior	05/08/25	Q2 2027	$796,000	$189,126	Deferred
Signage / monument	Building	11/28/25	Q3 2026	$644,000	$381,320	Deferred
Signage / monument	Building	01/19/26	Q2 2026	$107,000	$84,997	Deferred
Landscape / irrigation	Energy	09/23/24	Q2 2026	$614,000	$534,572	In progress
Parking lot resurfacing	Life Safety	04/25/23	Q4 2025	$203,000	$101,667	Deferred
Amenity renovation	Life Safety	11/25/23	Q1 2025	$815,000	$854,318	Complete
Fire alarm panel upgrade	Life Safety	05/05/24	Q4 2027	$441,000	$180,211	In progress
Lobby renovation	Building	03/16/26	Q2 2025	$584,000	$268,514	Bidding
Elevator modernization	Interior	02/19/26	Q4 2025	$802,000	$394,897	Bidding
LED lighting retrofit	Life Safety	10/11/25	Q2 2025	$596,000	$45,796	Approved
Door hardware	Site	01/17/24	Q4 2025	$41,000	$3,792	In progress

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Recommendations

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 4 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $339,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 46 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 32 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Resident turnover has averaged 13.1% annually with renewal retention above 89.8%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet.

Observed Conditions

Elevators were last modernized 4 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $9,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $77,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 4 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 13 months.

Business Plan Progress

Distributions to investors for the quarter were paid at an annualized rate of 7.5% on contributed capital. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns.

Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 2.4% annually with renewal retention above 89.2%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Distributions to investors for the quarter were paid at an annualized rate of 5.5% on contributed capital.

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 40 months. Elevators were last modernized 5 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 11 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 27 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
HVAC replacement	Energy	06/24/26	Q2 2025	$279,000	$33,433	Approved
Storefront glazing	Building	12/21/23	Q4 2025	$99,000	$54,284	In progress
Fire alarm panel upgrade	Life Safety	01/22/25	Q4 2027	$272,000	$212,534	In progress
Sewer line repair	Interior	03/12/26	Q2 2026	$454,000	$474,252	Bidding
Unit interior upgrades	Energy	01/18/25	Q3 2025	$359,000	$359,890	Approved
Storefront glazing	Interior	08/20/24	Q2 2025	$409,000	$389,593	Complete
LED lighting retrofit	Life Safety	12/13/25	Q1 2027	$191,000	$103,768	Approved
Parking lot resurfacing	Interior	02/08/24	Q1 2027	$547,000	$457,792	Complete
Storefront glazing	Interior	07/21/24	Q4 2027	$708,000	$581,844	Approved
Signage / monument	Energy	08/15/23	Q1 2026	$383,000	$245,754	Deferred
Exterior paint	Life Safety	04/30/26	Q4 2027	$419,000	$107,804	Deferred
ADA compliance	Building	02/28/24	Q4 2026	$211,000	$180,112	Deferred
Amenity renovation	Building	12/22/24	Q3 2027	$234,000	$87,229	In progress
Landscape / irrigation	Interior	02/19/25	Q1 2026	$68,000	$55,283	Bidding
Amenity renovation	Energy	10/06/25	Q4 2025	$666,000	$617,453	Approved
ADA compliance	Energy	04/08/23	Q4 2027	$863,000	$105,845	Approved
ADA compliance	Building	12/27/23	Q2 2026	$272,000	$231,424	Approved
Lobby renovation	Energy	07/31/23	Q1 2026	$853,000	$380,536	Approved
Parking lot resurfacing	Interior	01/30/25	Q1 2025	$427,000	$43,548	In progress
Pool resurfacing	Building	07/06/25	Q3 2025	$710,000	$136,848	Bidding
Unit interior upgrades	Life Safety	08/11/23	Q2 2027	$345,000	$326,450	Deferred
Sewer line repair	Building	06/15/23	Q3 2025	$591,000	$432,226	Deferred
Fence replacement	Building	12/22/26	Q4 2026	$820,000	$355,765	Bidding
Parking lot resurfacing	Energy	05/19/26	Q2 2025	$448,000	$139,206	Bidding
Signage / monument	Building	05/25/25	Q4 2025	$363,000	$192,798	Bidding
Sewer line repair	Energy	10/26/24	Q3 2027	$287,000	$37,656	Complete
Amenity renovation	Energy	02/09/26	Q2 2026	$819,000	$644,037	Deferred
Elevator modernization	Site	07/02/25	Q3 2027	$284,000	$146,101	Complete
LED lighting retrofit	Building	01/16/23	Q1 2026	$701,000	$355,090	Complete
Exterior paint	Interior	12/18/25	Q3 2026	$869,000	$503,102	Approved
LED lighting retrofit	Life Safety	03/01/25	Q3 2026	$338,000	$247,060	Deferred
Sewer line repair	Energy	08/28/25	Q1 2025	$84,000	$32,944	Complete
Amenity renovation	Life Safety	12/14/25	Q1 2027	$323,000	$21,332	Approved
Security camera upgrade	Energy	03/25/26	Q4 2026	$318,000	$285,749	Approved
Water heater replacement	Energy	10/17/24	Q2 2027	$449,000	$124,061	Bidding
Door hardware	Site	11/11/24	Q1 2026	$871,000	$10,457	Complete
ADA compliance	Interior	11/02/26	Q2 2026	$511,000	$113,731	In progress
Storefront glazing	Life Safety	02/05/25	Q3 2027	$258,000	$253,986	Approved
Elevator modernization	Site	04/19/23	Q2 2026	$713,000	$576,310	Deferred
Security camera upgrade	Interior	02/14/25	Q4 2025	$61,000	$54,959	In progress
LED lighting retrofit	Life Safety	07/05/23	Q2 2026	$837,000	$217,307	Deferred

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Deferred Maintenance

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 8 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $118,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 14 months.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 41 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $434,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 9 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Business Plan Progress

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital. Projected levered IRR is 9.9% with an equity multiple of 1.38x over the hold period.

Resident turnover has averaged 2.6% annually with renewal retention above 96.9%. Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $238,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Elevators were last modernized 5 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $394,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 23 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Risk Considerations

Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 12.1% with an equity multiple of 1.22x over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 3.2% annually with renewal retention above 96.9%. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns.

Distributions to investors for the quarter were paid at an annualized rate of 5.6% on contributed capital. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Resident turnover has averaged 3.4% annually with renewal retention above 92.2%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Deferred Maintenance

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 15 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $220,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Sewer line repair	Building	04/01/25	Q3 2027	$666,000	$426,993	Approved
LED lighting retrofit	Life Safety	10/10/23	Q1 2025	$586,000	$457,827	Bidding
Amenity renovation	Life Safety	03/15/26	Q1 2027	$898,000	$185,116	Complete
Amenity renovation	Life Safety	01/31/26	Q1 2027	$451,000	$36,763	Deferred
Fire alarm panel upgrade	Interior	03/22/26	Q4 2025	$413,000	$5,880	Bidding
Fire alarm panel upgrade	Building	01/21/26	Q3 2026	$43,000	$18,188	In progress
Sewer line repair	Building	02/20/24	Q4 2027	$834,000	$815,723	Approved
Fence replacement	Interior	02/20/25	Q3 2026	$712,000	$522,680	Bidding
Landscape / irrigation	Life Safety	11/11/23	Q2 2026	$539,000	$535,243	Approved
Security camera upgrade	Interior	05/07/23	Q3 2026	$700,000	$88,308	Deferred
Roof replacement - Bldg D	Site	09/10/24	Q3 2026	$26,000	$883	Complete
Water heater replacement	Interior	12/05/25	Q1 2026	$677,000	$670,417	Deferred
Sewer line repair	Building	03/02/24	Q2 2027	$444,000	$103,282	In progress
Door hardware	Energy	09/10/23	Q2 2027	$246,000	$146,752	Deferred
Parking lot resurfacing	Interior	03/23/24	Q3 2025	$885,000	$327,176	Complete
Door hardware	Energy	05/10/26	Q3 2025	$721,000	$89,116	In progress
LED lighting retrofit	Site	09/20/24	Q3 2026	$323,000	$228,712	In progress
Security camera upgrade	Energy	06/02/24	Q2 2026	$142,000	$86,862	In progress
Lobby renovation	Building	08/22/25	Q2 2027	$698,000	$295,472	Deferred
Exterior paint	Life Safety	10/09/26	Q2 2027	$494,000	$485,820	Bidding
Signage / monument	Energy	01/12/26	Q3 2027	$733,000	$758,678	In progress
Fire alarm panel upgrade	Interior	03/14/26	Q1 2026	$184,000	$120,084	Approved
Security camera upgrade	Interior	11/01/25	Q3 2025	$439,000	$405,527	Complete
Amenity renovation	Building	02/12/24	Q4 2026	$396,000	$411,290	Deferred
Lobby renovation	Life Safety	01/05/24	Q2 2026	$726,000	$26,415	Complete
Door hardware	Building	06/26/26	Q3 2027	$380,000	$171,361	In progress
Amenity renovation	Building	09/09/26	Q1 2025	$514,000	$438,335	Approved
Unit interior upgrades	Interior	11/17/23	Q1 2027	$420,000	$208,143	Approved
Fire alarm panel upgrade	Building	05/03/26	Q3 2026	$301,000	$112,765	Bidding
Parking lot resurfacing	Energy	09/20/23	Q4 2027	$561,000	$283,429	Approved
Exterior paint	Interior	11/09/25	Q1 2026	$136,000	$138,307	Approved
Roof replacement - Bldg A	Interior	08/22/25	Q3 2026	$390,000	$185,020	Bidding
Elevator modernization	Energy	12/14/23	Q2 2027	$274,000	$119,324	Bidding
Parking lot resurfacing	Life Safety	02/10/25	Q3 2025	$591,000	$427,731	Deferred
HVAC replacement	Building	09/04/24	Q3 2027	$576,000	$254,975	Complete
Amenity renovation	Interior	10/21/26	Q1 2026	$746,000	$560,169	Approved
Security camera upgrade	Interior	02/01/26	Q1 2025	$515,000	$274,138	Bidding
Parking lot resurfacing	Site	12/03/26	Q1 2027	$562,000	$433,031	In progress
HVAC replacement	Interior	03/07/24	Q3 2025	$810,000	$711,416	Complete
Sewer line repair	Building	08/29/24	Q2 2027	$831,000	$175,052	Approved
LED lighting retrofit	Site	04/15/26	Q1 2027	$259,000	$89,865	Deferred
Fence replacement	Interior	07/04/23	Q4 2026	$521,000	$282,604	Complete

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Deferred Maintenance

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 5 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $370,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Elevators were last modernized 11 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 12 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $257,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Investment Overview

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 12.2% with an equity multiple of 1.13x over the hold period. Resident turnover has averaged 6.7% annually with renewal retention above 91.1%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 13.5% with an equity multiple of 1.8x over the hold period. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $420,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 7 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 25 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 9 months. Elevators were last modernized 7 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investment Overview

Average in-place rent is $1,849 per month against an average unit size of 1,026 square feet. Distributions to investors for the quarter were paid at an annualized rate of 3.1% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 3.5% annually with renewal retention above 95.3%.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital. Resident turnover has averaged 5.3% annually with renewal retention above 91.6%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 6.6% with an equity multiple of 1.31x over the hold period.

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 27 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 10 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

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